

Subject Code	AF5362
Subject Title	International Financial Management
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: Principles of Corporate Finance (AF5312) <i>AND</i> Investments (AF5344)
Objectives	This subject contributes to the achievement of the Programme Outcome by developing students' ability to solve international financial problems as they present themselves in real-life situations (Outcome 2), and to formulate international financial strategies and envision their outcomes.
Intended Learning Outcomes	Upon completion of this subject, students will be able to: - Understand the structure and characteristics of various international financial markets and instruments, including cryptocurrencies (Outcome 2b); - Understand how different exchange rate systems (especially Hong Kong's currency board system) function and how they affect an economy's business environment; - Identify the risks of business operations and entrepreneurship in an international environment and understand how these risks can be managed; - Identify and analyze the international dimensions of the debt and equity markets, and understand their implications for a company's financing decisions and investment policies.
Subject Synopsis/ Indicative Syllabus	The Foreign Exchange Market Exchange rate defined. Spot and forward markets. Interest rate parity relationships. Are cryptocurrencies currencies? Exchange Rate Systems Fixed vs. Floating exchange rates. How a fixed exchange rate is maintained? Pros and cons of fixed exchange rates. How does Hong Kong's currency board work? Exchange Rate Determination Using the interest rate parity relationship. Purchasing Power Parity considerations. Current account considerations. Fundamental approach. Technical approach. Forecasting performance of professional forecasters. Foreign Exchange Risk Management The Instruments: Foreign exchange futures and options. Transaction exposure. Economic exposure. The importance of operating exposure to entrepreneurs – even in purely domestic businesses. R&D and the management of operating exposure. The use of swaps. International Financial Markets: The Manager's Perspective Cost of capital. Corporate governance. Cryptocurrencies as a medium of exchange.

	International Financial Markets: The Investor's Perspective International portfolio investments. The benefits of international diversification. The effects of exchange rate movements. Home bias in portfolio holdings. Cryptocurrencies as an asset class.							
Teaching/Learning Methodology	In the first part of most classes, the instructor will provide students with a lecture on the underlying concepts and their application in practical settings. Students will be required to participate in the lectures and class discussions. to solve analytical problems and case studies, to make presentations, and to submit written reports.							
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d		
	1. Midterm Exam	20%	✓	✓				
	2. Group Presentation*	7%	✓	✓	✓	✓		
	3. Individual Written Report*	13%	✓	✓	✓	✓		
	4. Class Participation	5%	✓	✓	✓	✓		
	5. Final Exam	55%	✓	✓	✓	✓		
	Total	100 %						
*Different presentations/reports may address different outcomes. Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Students will be required to solve problems that test their understanding of how exchange rates are determined, the relationship between exchange rates and interest rates, the characteristics of international financial instruments, the impact of different exchange rate systems on the business and economic environment, and of what the sources of risks are in international financial transactions. There will also be cases and problems that test if students can make use of financial instruments and/or operational hedges to manage risks in international financial transactions, and understand the implications of the international nature of the debt and equity markets for corporate financial decisions. <i>Note: The specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.</i> <i>To reflect the significant technology content in this subject, 10% of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge.</i>								

Student Study Effort Expected	Class contact:	
	▪ Lectures / Seminars	39 Hrs.
	Other student study effort:	
	▪ Problems / Cases	24 Hrs.
	▪ Midterm & Final Examinations	35 Hrs.
	▪ Preparation for presentation and written report	25 Hrs.
	Total student study effort	123 Hrs.
Reading List and References	<u>Textbook</u> Eun, C.S., B.G. Resnick, and T. Chuluun, <i>International Financial Management</i>, 10th Edition, McGraw-Hill, 2024. <u>Supplementary Readings</u> Shapiro, A.C., <i>Multinational Financial Management</i>, 12th Edition, Wiley, 2024. Eiteman, D.K., A.I. Stonehill, and M.H. Moffet, <i>Multinational Business Finance</i>, 16th Edition, Pearson, 2023. Bodie, Z., A. Kane, and A.J. Marcus, <i>Essentials of Investments</i>, 11th Edition, McGraw-Hill, 2019.	